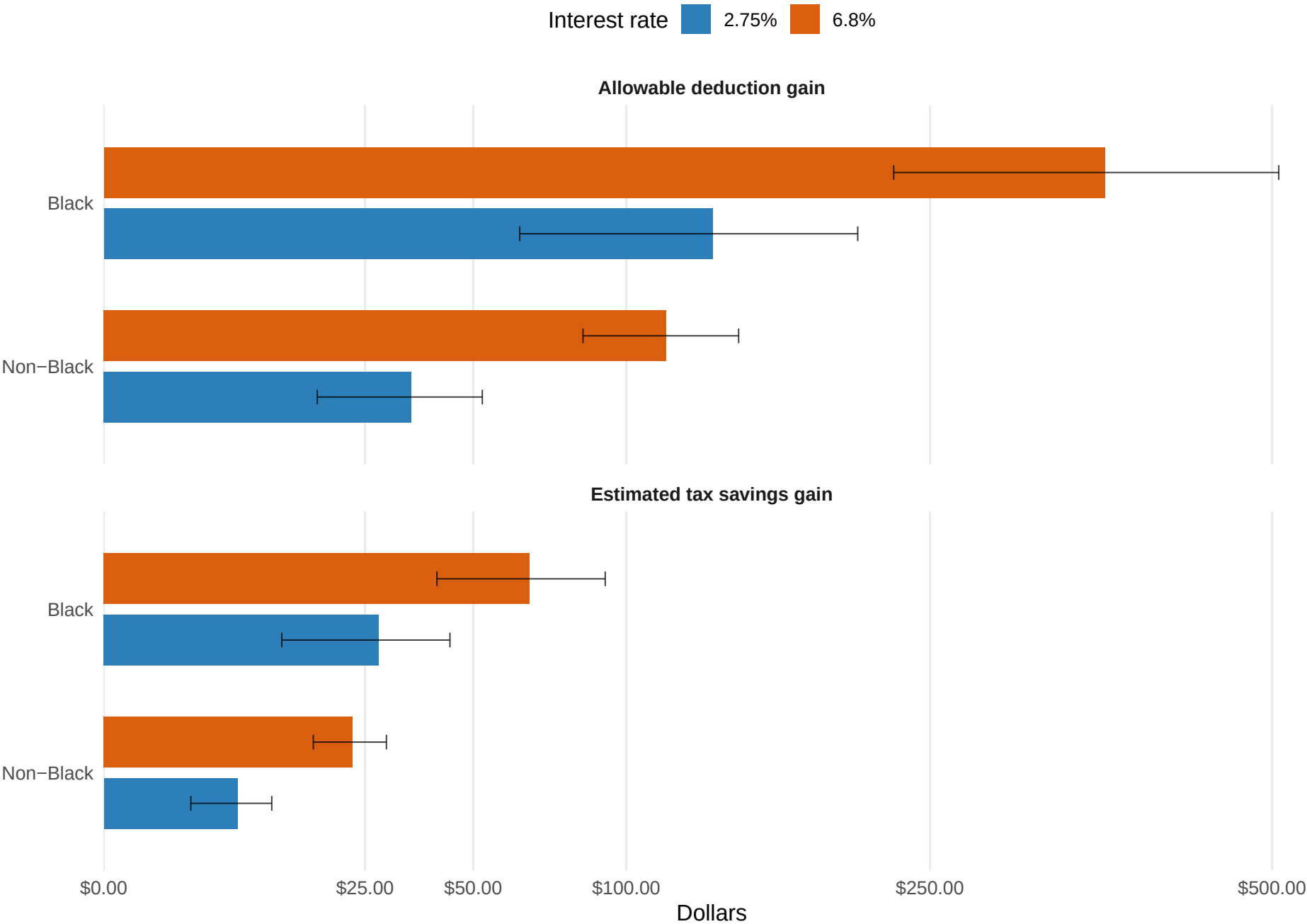


Figure 4: A Higher Married Cap Raises Deductions and Tax Savings for Married Black Households

Estimated allowable-deduction gains and estimated tax-savings gains from raising the married-household deduction cap to \$5,000 for Black and Non-Black households.



Author's analysis of 2022 Survey of Consumer Finances data. Population: subgroup means among eligible households with positive student debt. We display only married households by design because only the married cap is changed. Tax savings equal allowable deduction times an estimated 2025 federal marginal tax rate. The 2.75% and 6.8% rates are the minimum and maximum undergraduate federal loan rates from 2000 through 2025; because borrower-specific loan terms are not observed, they show a plausible range of impacts. Error bars show 95% confidence intervals.